

In sum, the important characteristic of a term policy is its temporary nature, as well as the fact that it has no savings component. This might seem an odd comment at first, because insurance should have nothing to do with savings. But you will see that permanent life insurance does have a savings component.

What is permanent coverage? This type of coverage sometimes goes under the industry name of whole life, universal life, or level life insurance. There are various types of permanent coverage, but the main idea is that your monthly or quarterly insurance premiums remain the same and also contain a savings component. So if you pay \$100 per month, perhaps \$60 goes toward the insurance premiums, while the remaining \$40 goes to a side savings fund. Practically speaking, your policy contains more than just insurance coverage—it also includes investment value.

Why the savings? With term insurance, your premiums increase each year because the probability of dying increases as you age. In fact, when you are in your seventies and eighties, not only are the premiums prohibitively expensive, but you may not be able to purchase coverage at any price. Level, or permanent, insurance is a system whereby you overpay in the early years to subsidize the later years. Level insurance premiums are higher than term premiums for the first part of your life, while term premiums exceed level premiums later on. This is where the savings come in. Because you are overpaying in the early years, the excess over the pure premiums is being invested in a side fund. In some cases, you can actually control where those excess premiums are invested. As you age, some of the savings will be depleted to make up for the fact that your annual level premiums are lower than what they should be. With these so-called universal policies, you can withdraw, or cash in, the excess savings at any time, so you have access to an emergency fund in times of need.

To summarize the risk management process that you should be taking throughout your life cycle, I offer the following slightly more sophisticated way to think about life insurance and risk management, as shown in Figure 2.4. When you are young, the risk that you and your family face is that your mortality or hazard rate will “spike up” and your family will lose its source of human capital. This is why you purchase a financial security that is “long” mortality when you are young.